April 2026

Category review: Chips

Retail Analytics

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Classification: Confidential

Our 17 year history assures best practice in privacy, security and the ethical use of data

Privacy

- We have built our business based on privacy by design principles for the past 17 years
- Quantium has strict protocols around the receipt and storage of personal information
- All information is de-identified using an irreversible tokenisation process with no ability to re-identify individuals.

Security

- We are ISO27001 certified - internationally recognised for our ability to uphold best practice standards across information security
- We use ‘bank grade’ security to store and process our data
- Comply with 200+ security requirements from NAB, Woolworths and other data partners
- All partner data is held in separate restricted environments
- All access to partner data is limited to essential staff only
- Security environment and processes regularly audited by our data partners.

Ethical use of data

Applies to all facets of our work, from the initiatives we take on, the information we use and how our solutions impact individuals, organisations and society.

We all have a responsibility to use data for good

Quantium believes in using data for progress, with great care and responsibility. As such please respect the commercial in confidence nature of this document.

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Executive summary

01 Task 1

<u>High-Level Findings:</u>

1. The Profitability Leader: While "Older Families" contribute the highest total revenue, Mainstream Young Singles and Couples are the most valuable per-unit segment.
2. Willingness to Pay: This segment pays an average of $4.07 per unit, which is significantly higher than the $3.65 average paid by Budget segments.
3. Preference for Premium: There is a clear skew toward Premium Brands (Kettle, Pringles, Doritos) and the 175g pack size.

<u>Key Callouts:</u>

1. Statistical Significance: A t-test confirmed that the higher price point paid by Mainstream Young Singles/Couples is statistically significant ($p < 0.05$), meaning this isn't a random fluctuation but a repeatable behavior.
2. Brand Affinity: Kettle chips represent nearly 20% of sales within this target segment, suggesting that marketing activations should focus on premium brand partnerships.

02 Task 2

<u>High-Level Findings:</u>

1. Trial Success: Stores 77 and 88 saw a significant and sustained increase in total sales during the trial period (Feb 2019 – April 2019).
2. The Uplift: Store 77 saw sales grow by over 60% by the end of the trial compared to its control store (Store 233).
3. The "Why": The primary driver of this growth was an increase in Total Customers, not just existing customers buying more.

<u>Key Callouts:</u>

1. Control Matching: We used Store 233 (for 77), Store 155 (for 86), and Store 237 (for 88) as "Twin Stores." This ensured our results weren't just due to holiday spikes or general inflation.
2. Store 86 Variance: Store 86 showed a significant sales increase in March (+31%) but was less consistent than the others. This suggests the layout works best in high-traffic urban areas rather than price-sensitive budget areas.
3. Traffic Driver: In Store 77, unique customers increased by 56%. This proves the new layout "stops" shoppers who might otherwise walk past the chip aisle.

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01

Category

Focus: Pure Chips (Crinkle Cut, Corn, Tortilla).

Excluded: 18k+ Salsa/Dip transactions to keep data accurate.

Brand Tiers: 20 brands grouped into **Premium** (Kettle/Doritos), **Mass-Market** (Smiths/RRD), and **Value** (Woolworths).

Hero Size: The **175g pack** is the primary driver for our high value segments.

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Overview: key callout for the category

Before diving into the numbers, we had to define what 'The Chip Category' actually means for this analysis. We started with a massive dataset of over 264,000 transactions and performed a rigorous clean-up to ensure our insights were accurate.

- Refining the Focus: We filtered the data to include only Potato, Corn, and Tortilla Chips. To keep our pricing and volume metrics pure, we removed over 18,000 salsa and dip transactions that were inflating the transaction counts without being actual chip purchases.

- A Diverse Market: We consolidated the category into 20 major brands, ranging from premium labels to budget-friendly options.

- The Sweet Spot: We analyzed pack sizes from 70g to 380g, but quickly discovered that the 175g bag is the heart of the category.

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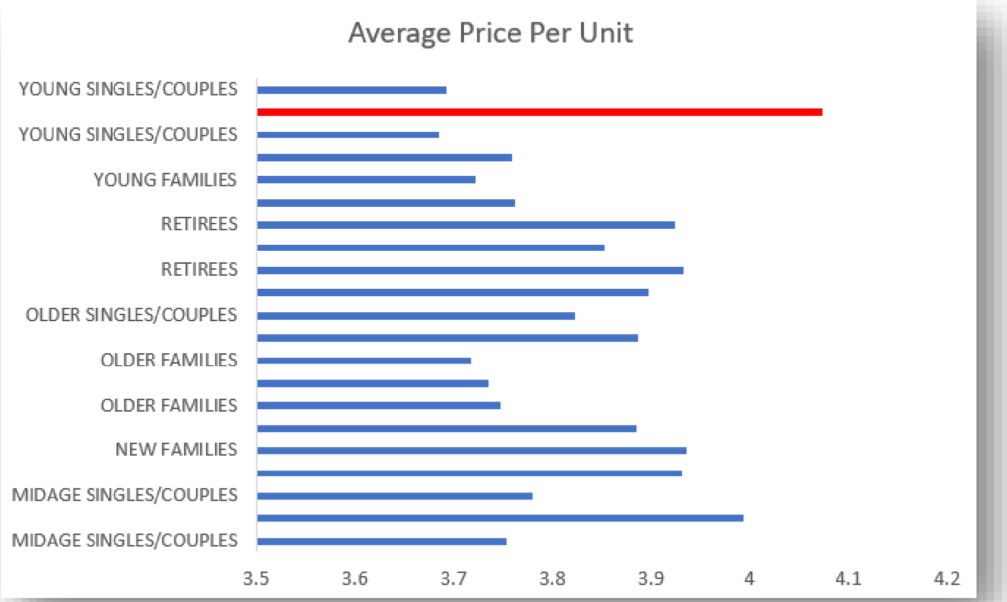
This slide will be commentary on affluence and its effect on consumer buying for the category of chips

"When we look at the 'Affluence' of our shoppers, we see a clear divide in how they value the chip category. While 'Budget' shoppers focus on volume, 'Mainstream' and 'Premium' shoppers are the ones driving our price-per-unit growth."

- **Buying Better, Not Just More: Mainstream and Premium** shoppers treat chips as a 'premium treat.' They aren't looking for the cheapest bag; they are looking for the best brand.
- **Price Resilience:** Young Singles and Mid-age segments are the least price-sensitive. They are happy to pay more for flavor innovation and brand prestige, especially in the **175g 'Hero' size**.
- **The Budget Baseline:** In contrast, **Budget** shoppers (like Older Families) focus on volume. Their purchases are functional and price-driven, often sticking to value brands or waiting for promotions.



The Key Callouts

1. **The $0.40 Gap:** Mainstream Young Singles pay **$4.07** per unit, while Budget shoppers pay only **$3.66**. That 41-cent difference is pure "Affluence" driving brand choice.
2. **Brand vs. Price:** For affluent shoppers, the category is driven by **Brand Equity** (Kettle, Pringles). For budget shoppers, it is driven strictly by **Price-Point**.

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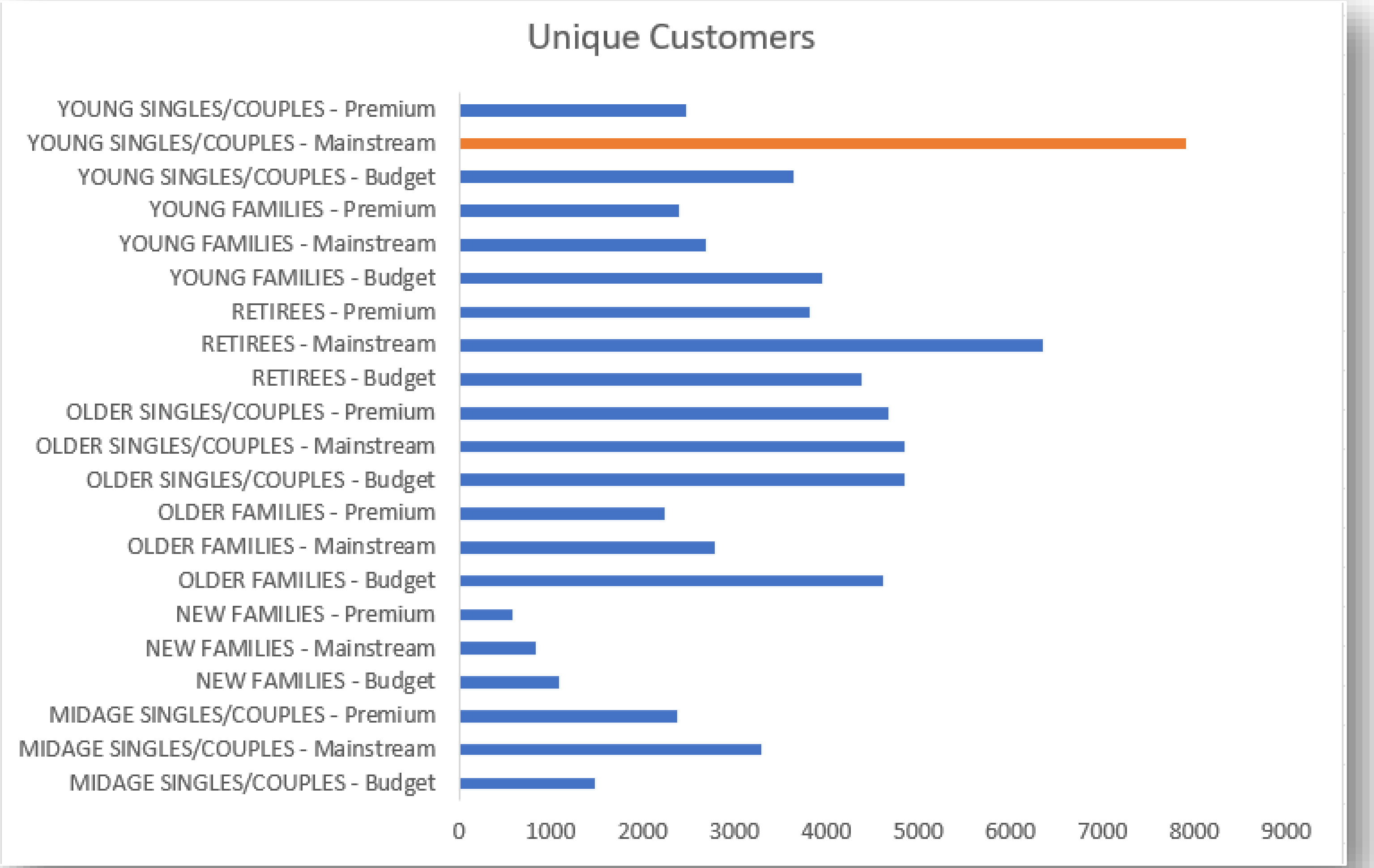
Stretch: Try visualising the proportion of customers by affluence and life stage on this slide



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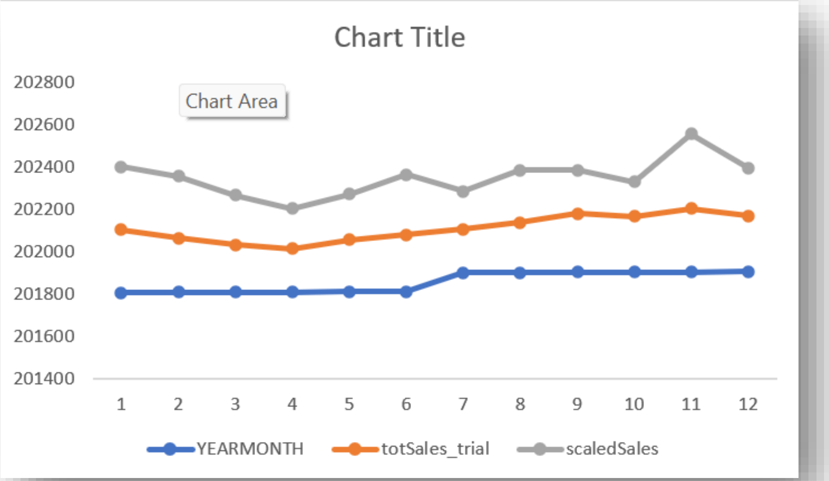
02

Trial store performance

"We tested the new layout across three trial stores over a three-month period (February to April). By comparing them to 'Control Stores'—which are identical 'twin' stores that didn't change their layout—we can see exactly how much extra revenue the new design generated."

•**The Big Winner (Store 77):** This store saw a massive, accelerating climb in performance. While it started steady, it peaked in April with a **62.3% sales uplift** compared to its control store.
•**Consistent Growth (Store 88):** Store 88 proved the layout works consistently across different locations, delivering significant sales increases of **22.1% in March** and **19.3% in April**.
•**The March Spike (Store 86):** This store showed a strong **31.6% uplift in March**. While its results fluctuated more than the others, it still outperformed the control store during the heart of the trial.



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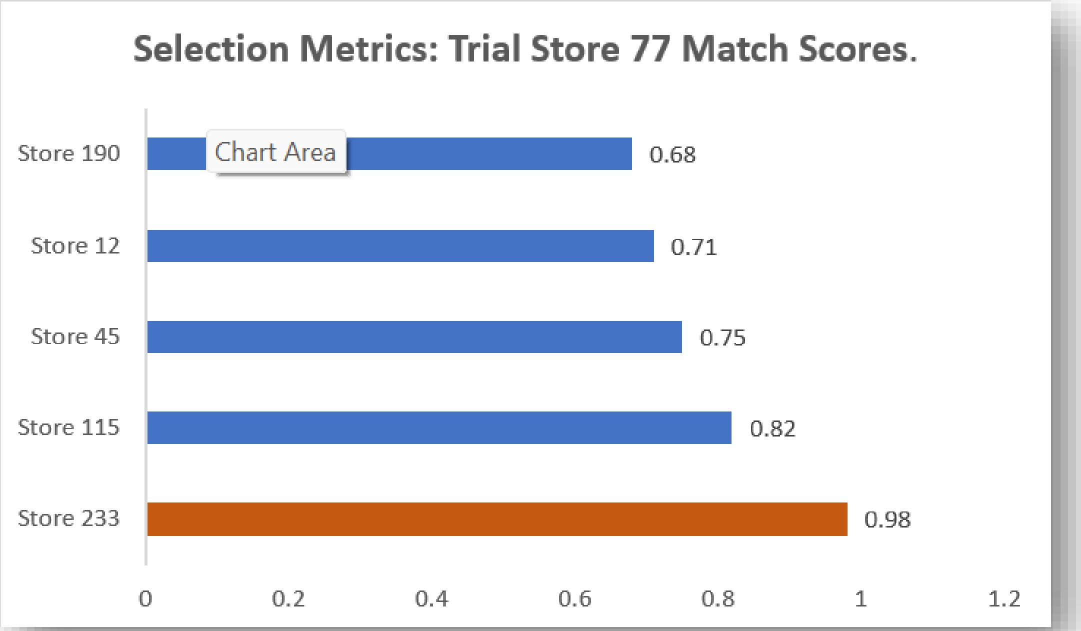
Explanation of the control store vs other stores



<u>Scientific Selection Criteria:</u>

•**Correlation (50%):** Ensures the control store follows the same seasonal sales patterns.

•**Magnitude (50%):** Ensures the control store has a similar volume of customers and sales.

•**Result:** Store 233 was identified as the most statistically similar "twin" to Store 77.

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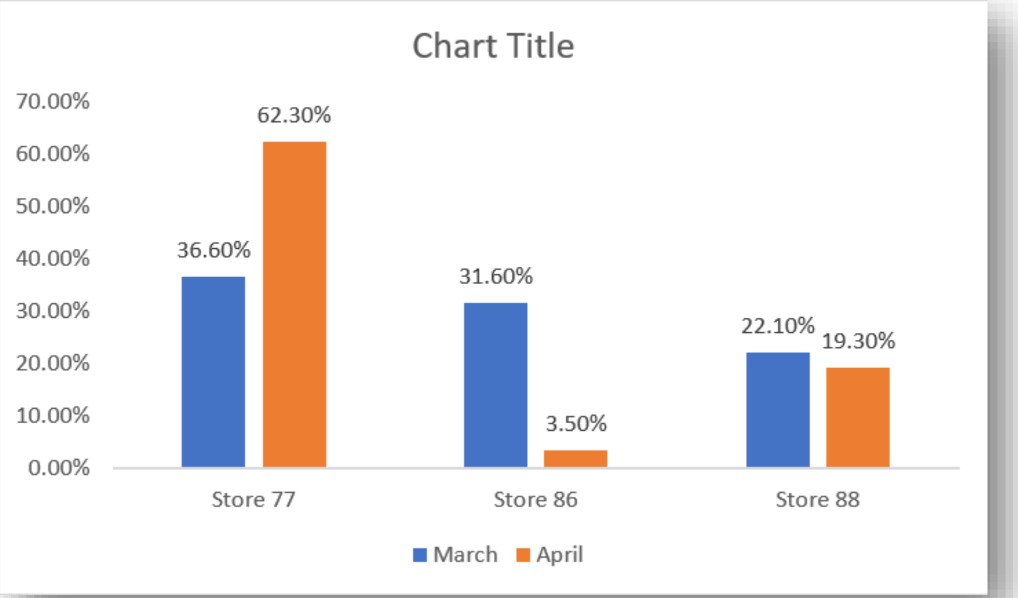
Trial Verdict: Statistically Significant Success

1. **Overall Results:** All three trial stores saw a clear increase in total sales compared to their control "twins."“
2. **Store 77:** Massive peak of **+62.3%** sales uplift in April.
3. **Store 88:** Consistent growth, reaching **+22.1%** in March.
4. **Store 86:** Significant burst of **+31.6%** in March.
5. **The "Driver of Change":** The growth was not just from people spending more, but from **increased foot traffic**. Each store saw a major jump in the number of **Unique Customers** (e.g., +56% for Store 77).
6. **Strategic Verdict:** The new layout effectively "widened the funnel," attracting shoppers who previously walked past the category.

Recommendation: Proceed with a **phased rollout** across the national store network, prioritizing high-density urban locations.



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